

SWITZERLAND

Demographic Structure of Switzerland

Demography is derived from combination of two Greek words '*Demos'* meaning people and '*Graphy'* meaning Science. Demography was first used by French writer Achille Guillard. The Oxford Dictionary of Economics defines demography as **"The study of the characteristics of human populations.** Demography also includes analysis of the economic, social, environmental, and biological causes and consequences of population change.

Switzerland is a European Country, well known for its Alps Trees, Pristine Lakes and Natural Environment. Switzerland is a well- developed and an advanced economy with a strong and robust banking sector.

Now let's have a look on the demographic structure of Switzerland.

1. Birth and Death Rates

Birth Rate or Crude Birth Rate is defined as number of live births per 1000 individuals in a population during a particular period, usually one year. Crude Birth Rate is calculated as $\frac{Annual\ Birth}{Annual\ Mean\ Population} \times 1000.$

While the Death Rate of Crude Death Rate refers to number of deaths per 1000 individuals in the same population and the same time frame. Crude Death Rate is calculated as $\frac{Annual\ Death}{Annual\ Mean\ Population} \times 1000.$

As the countries modernize, grows and develop a fall in Birth Rate is often observed. Both CBR and CDR reflects the overall health infrastructure of a country.

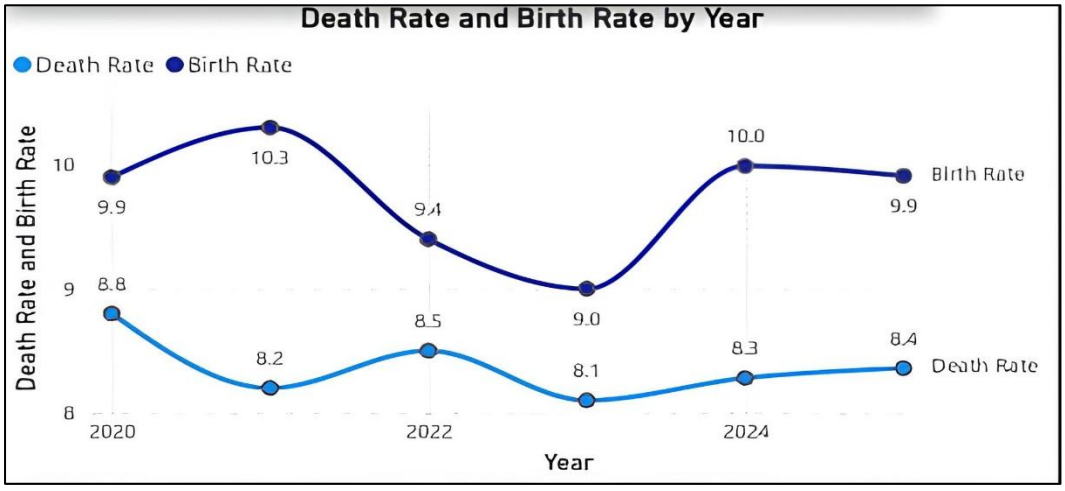


Figure 1. Birth Rate and Death Rate

From **figure 1**, it can be clearly observed a fall and rise in Birth Rates from 9.9 in year 2020 to 10.0 in year 2024 and again 9.9 in year 2025, indicating minor fluctuations. Many developed countries like European countries, Japan, South Korea etc. are experiencing fall in Birth rate, the most common reason for decline in birth rate is often linked with work life balance, rising cost of livings, and parenting challenges faced by women.

According to SwissInfo, the rising death rates in Switzerland are due to heart diseases that accounts to nearly 28% of total deaths while Cancer accounts for nearly 23% of total deaths, the number of suicide cases are also rising. This trend of falling birth rate and rising death rate is often observed in developed economies.

2. Fertility Rate

Fertility rate is a common metric to analyse and assess the birth patterns. Fertility rate refers to the average of children born to a woman over her lifetime. Like the Birth rate and Death rate, the Fertility rate also provide a glimpse into the demographic pattern of a country.

Fertility rate is calculated as $\frac{Number\ of\ Births}{Number\ of\ Woman} \times 1000$

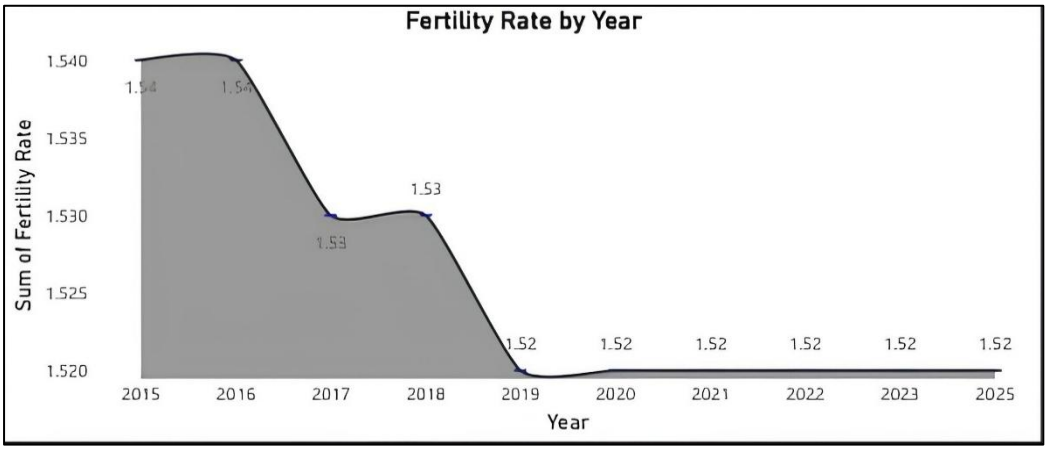


Figure 2. Fertility Rate

From figure 2, it can be seen that there is a sharp decline in the fertility rate from 2015 to 2019. Then, from 2020 to 2025, the fertility rate is consistent at 1.52. The fertility rate of 1.52 means that a woman will have approximately 1 child over her lifetime. This decline in the fertility rate leads to an ageing population. Exploring career opportunities, educational opportunities, Urbanisation, Nuclear Families, the increase in the cost of living, Contraceptive use, and Women Empowerment are a few reasons for the declining fertility rate.

3. Multilingualism: Regional Language Distribution

Switzerland is located at the heart of Europe, adopting identities from neighbouring nations. Going back in history, today's Switzerland was a part of Roman Empire and was greatly affected by the French Revolution and Napoleonic War. All these events greatly influenced the regional language distribution in Switzerland. There are four languages widely used in

Switzerland. From figure 3 it can see that the around 56.11% of the population uses German or referred to as 'Swiss German' language in followed by French or also referred to as 'Swiss French' used by around 20.81% of the population, then comes the Italian which accounts for around 7.24% and then the English accounting for around 5.43%. Other languages like Albanian, Portuguese, Serian, Spanish and Romansh is also in use by small proportion of population.

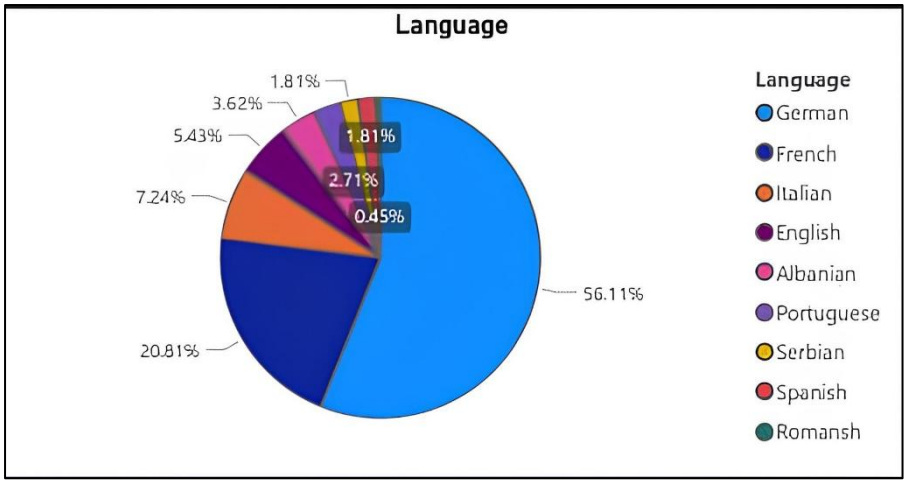


Figure 3. Language Distribution

The figure 3.1 throws light on the regional language distribution in Switzerland. Where the Swiss German is predominantly spoken in the central and northern part of Switzerland and the reason is the northern part shares border with Deutschland hence influencing the linguistics of Switzerland. Likewise, Swiss French is spoken in the western part of Switzerland, where it shares border with France, Swiss Italian is spoken by the southern part close to Italy, and the Romansh language is mainly spoken in the Grisons Canton in east.



Figure 3.1 Regional Language Distribution
Source: (Babbel.com & Lesson Nine GmbH, 2018)

4. Religious Diversity

Religion is not something that plays the first fiddle in Switzerland, yet, the Swiss religious affiliation is highly diverse. The country was historically dominated by Catholics and Protestants, which made up the major religious community (Shehu, 2021).

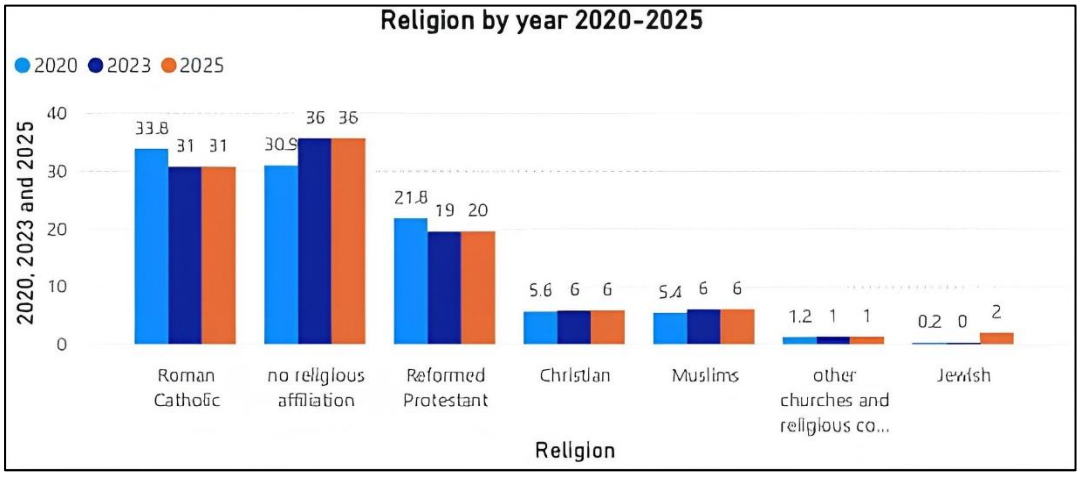


Figure 4. Religious Diversity in Switzerland

Over the past four decades, Switzerland has witnessed notable shifts in its religious composition. Traditional affiliations have declined while secularism and diversity have grown steadily. The majority of population is Switzerland are Roman Catholic, and this population is declining. While people identifying as Reformed Protestants, Christians, Muslims, Jews and other churches and religious communities is rising. Another key point to note is that people with no religious affiliation has risen in Switzerland. Migration has contributed to Switzerland's growing religious diversity, while at the same time, there has been a rise in the number of people, particularly in urban areas, who are not affiliated with any religion (Religion, 2024). Apart from the above religions, Switzerland is home to religious communities like Sikhs, Jains, Hindus, Buddhists and people of other faiths.

5. Migrants

Migration is the movement of people away from their usual place of residence to a new place of residence, either across an international border or within a State. There is no universally agreed definition of "migration" or "migrant", but there are several widely accepted definitions that have been developed in different settings. For example, the United Nations Department of Economic and Social Affairs defines a long-term migrant as a person who lives outside their country of origin for at least 12 months.

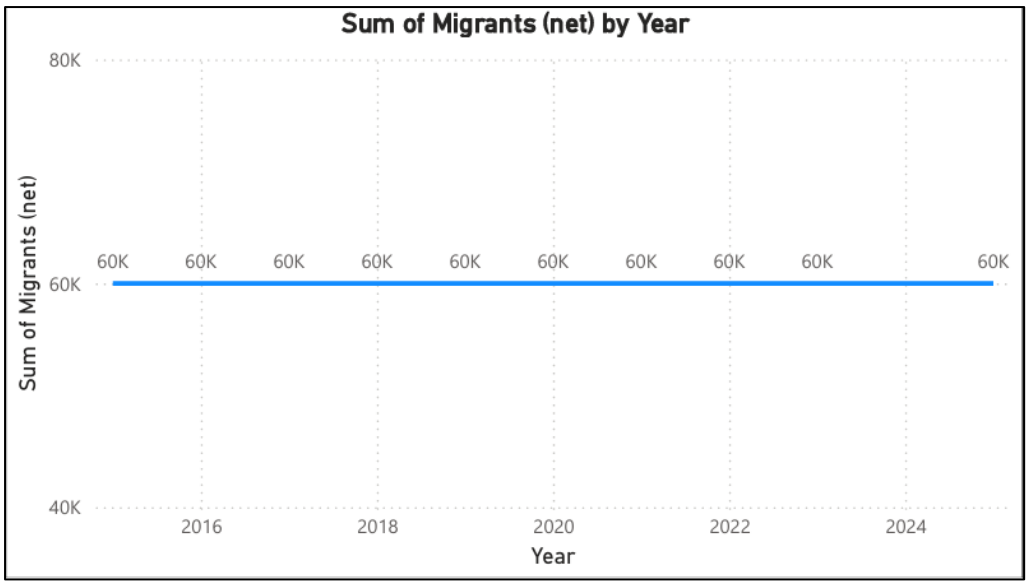


Figure 5. Migrants in Switzerland

Figure 5. it is showing, where the net number of migrants remains constant at 60,000 from 2016 to 2024. This indicates that there was no change in migration levels over the years — the number of people entering and leaving the country balanced out, or the data recorded the same value each year. The flat line suggests either stable migration trends due to consistent policies and economic conditions, or it may reflect unchanged or incomplete data that did not capture yearly variations.

Switzerland's foreign policy on migration is characterized by a partnership approach with countries of origin, transit and destination and a balanced approach to migration considering challenges and opportunities. This makes Switzerland a credible and principled partner in the field. It strives to put the migrants' voice, agency, and rights at the centre of its initiatives.

Switzerland's International Cooperation Instruments and the State Secretariat for Migration coordinate their action through the Interdepartmental Structure for International Cooperation on Migration to ensure policy coherence.

6. Urban & Rular population

Rural area or countryside is a geographic area that is located outside towns and cities. Cities, towns and suburbs are classified as Urban areas. Typically, Urban areas have high population density and rural areas have low population density.

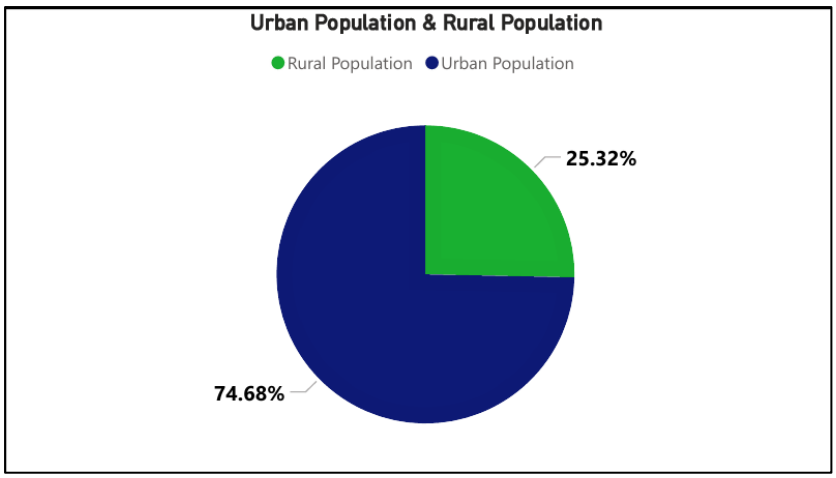


Figure 6. Urban & Rural population

Figure 6. It's showing, this pie chart represents the distribution of Switzerland's population between urban and rural areas. It shows that 74.68% of the population lives in urban regions, while only 25.32% resides in rural areas. This indicates that Switzerland is a highly urbanized country, where most people prefer living in cities and towns due to better employment opportunities, education, healthcare, and modern infrastructure. The smaller rural share reflects limited population spread in countryside areas, possibly due to mountainous terrain and fewer economic activities compared to urban centres.

7. Density

Population density is a measurement of the number of people living per unit area of land. It is typically expressed as the number of people per square kilometre (km²). This metric helps in understanding how crowded or sparsely populated a region.

$$\text{Formula: } Population\ Density = \frac{Total\ Population}{Total\ Area\ in\ km^2}.$$

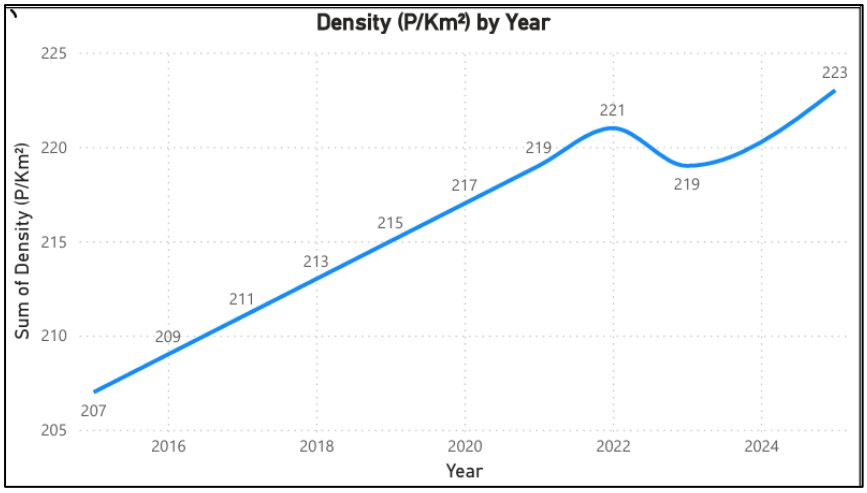


Figure 7. Density (P/km2)

Figure 7. it's showing**,** the trend of population density (measured in persons per square kilometre) in Switzerland from 2015 to 2024. The graph indicates a steady increase in population density from 207 P/Km² in 2015 to 221 P/Km² in 2022, reflecting consistent population growth during this period. In 2023, there is a slight decline to 219 P/Km², which may be due to factors such as migration fluctuations, lower birth rates, or temporary demographic adjustments. However, by 2024, the density rises again to 223 P/Km², showing recovery and continued population growth. Overall, the data suggests that Switzerland has experienced a gradual and sustained increase in population density over the past decade, with only minor variations.

8. Population

Population is a fundamental concept that represents the total number of individuals living in a particular area or sharing specific characteristics. It forms the basis for understanding human existence and societal development. Population data helps in identifying and analysing groups of people based on various attributes such as age, gender, occupation, or region. It can be defined geographically—at the level of a city, state, country, or even the entire world—depending on the focus of study. By examining population data, governments, researchers, and planners can make informed decisions about resource allocation, infrastructure, healthcare, and economic policies, as it reflects the composition and dynamics of society.

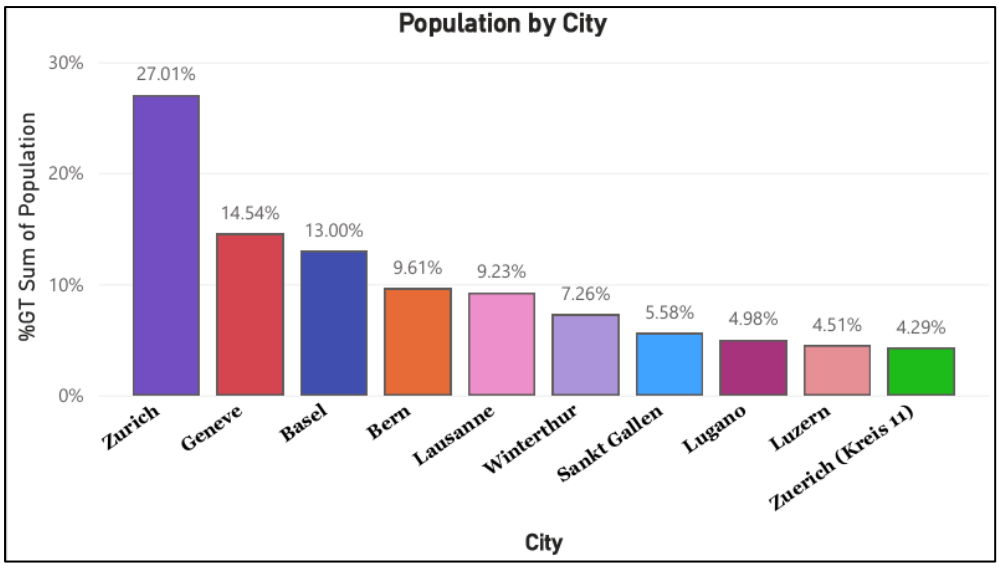


Figure 8. population by city

Figure 8. it's showing**,** the distribution of population across major cities in Switzerland. Zurich has the largest share of the population, accounting for 27.01%, indicating its position as the country's most populous and economically significant city. Geneva follows with 14.54%, reflecting its international importance and dense urban population. Basel, another key commercial and cultural center, contributes 13% to the total population. Bern, the capital city, and Lausanne hold 9.61% and 9.23% respectively, showing moderate but stable urban populations. Winterthur (7.26%), Sankt Gallen (5.58%), Lugano (4.98%), Luzern (4.51%), and Zürich (Kreis 11) (4.29%) have relatively smaller shares, representing secondary urban hubs. Overall, the chart highlights that Switzerland's population is concentrated in major economic and administrative centers, with Zurich being the dominant urban area followed by other key cities with smaller but significant population shares.

Business Environment of Switzerland

Switzerland is one of the most competitive economies in the world due to its strong added value services, its specialized industries and a highly skilled workforce of almost 5 million people. For centuries Switzerland has adopted a policy of armed neutrality in global affairs, which has given it the access and political stability to become one of the world's wealthiest countries, with an efficient market economy. Its standard of living, industrial productivity and quality of education and healthcare systems are among the highest in Europe. Also, during the pandemic, the Swiss economy was relatively resilient thanks to its specialization in the financial sector and in the chemical and pharmaceutical industries (Switzerland: An Overview of the Economy and of the Business Environment, 2023).

1. Swiss Economy: Navigating through turbulences

The service sector contributes to nearly 74% in Switzerland's GDP, then the manufacturing sector contributes around 24% in GDP and lastly the agriculture sector contributes 1% in Swiss GDP. This indicated that the Swiss economy is heavily dependent on service and manufacturing sectors.

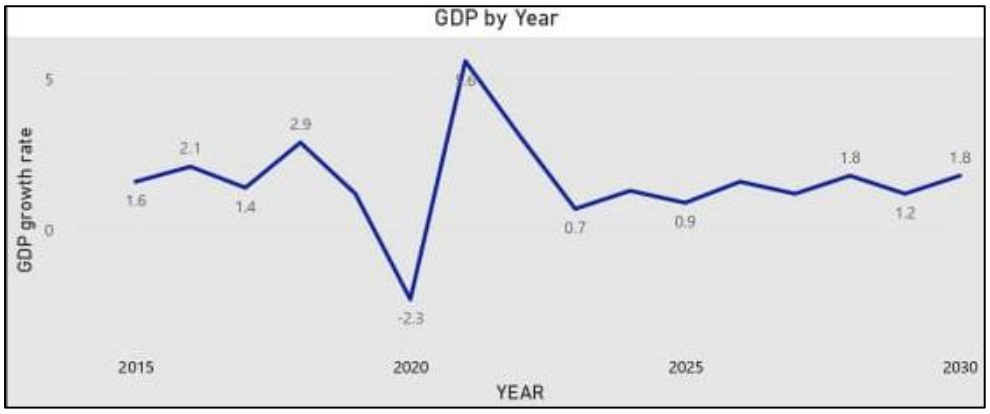


Figure 9. Growth rate of Swiss Economy

Switzerland despite being a global competitive market is now facing retaliatory tariffs of 39% imposed by USA. The impact is clear, Swiss economy is expected to grow at 0.9% this year and the growth rate till 2030 is less than 2%. The reason is simple, Swiss economy's backbones, the service sector and industrial sector are finding it difficult to navigate through the tariffs imposed. Since August 7, all Swiss products – except for pharmaceuticals and gold bullion refined in Ticino, whose status remains undecided – have been hit with a 39% tariff, more than double the 15% rate that the European Union agreed to with Washington (Enderlin, 2025).

2. Inflation

Inflation refers to rise in general prices of any product or service, every economy's monetary authority is responsible for maintaining a tolerable inflation rate. Inflation is measured from CPI (Consumer Price Index) which shows the cost of 'basket' of goods that every household on a average consumes and includes food, clothing, transportation, housing and healthcare.

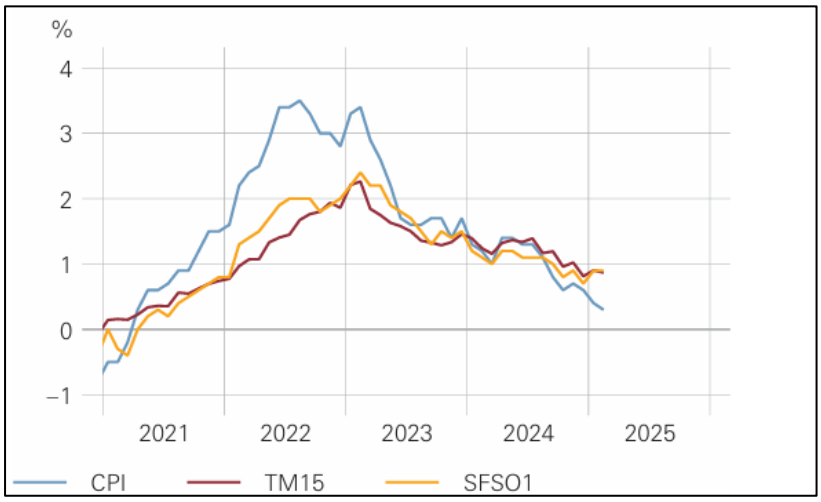


Figure 10. Inflation in Switzerland

Source: SFSO, SNB

Figure 10. shows that despite global economic uncertainties, the Swiss monetary authority-Schweizerische National Bank is able to control inflation rate. Core inflation has remained almost unchanged since November. The SFSO core inflation rate 1 (SFSO1) was unchanged at 0.9% in February. The core inflation rate as measured by the SNB's trimmed mean (TM15) decreased slightly from 1.0% in November 2024 to 0.9% in February 2025 (*Headline and Core Inflation Is Switzerland 2025 - Bing*, n.d.).

3. Unemployment

Unemployment is a situation where people who are willing and able to work do not find suitable jobs. It occurs when the supply of labor exceeds the number of available employment opportunities. Unemployment can arise for various reasons, such as people changing jobs, lack of required skills, economic slowdowns, or seasonal demand for labor. It affects individuals by reducing their income and living standards, and it also harms the economy by lowering production and increasing poverty. To reduce unemployment, governments and organizations focus on skill development programs, promoting entrepreneurship, and creating more job opportunities through industrial and economic growth.

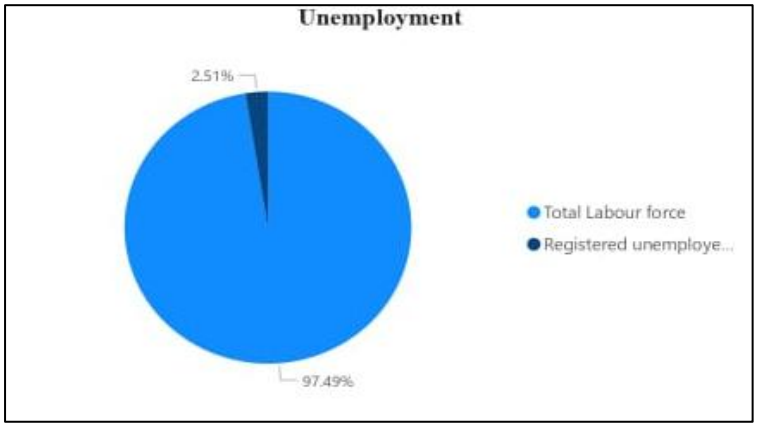


Figure 11. Unemployment in Switzerland

The figure 11. represents the unemployment situation in Switzerland, showing the proportion of the total labour force compared to the registered unemployed population. According to the chart, 97.49% of the total labour force in Switzerland is employed, while only 2.51% are registered as unemployed. This indicates a very low unemployment rate, reflecting a strong and stable labour market. The high employment percentage suggests that Switzerland has effective economic policies, a diversified economy, and a strong demand for skilled workers. The low unemployment figure also highlights efficient vocational training systems and active labour market measures that help people find jobs quickly. Overall, the chart portrays Switzerland as a country with a healthy employment environment and minimal joblessness.

4. Balance of Payments

The Balance of Payments (BOP) is a detailed record of all economic transactions between a country and the rest of the world over a specific period, usually one year. It shows how money flows into and out of the country through trade, investments, and financial transfers. The BOP is mainly divided into two parts: the current account and the capital and financial account. The current account records exports and imports of goods and services, income from abroad, and transfers like remittances or foreign aid. The capital and financial account, on the other hand, includes investments, loans, and transactions involving ownership of assets between nations. A surplus in the BOP means the country earns more from the world than it spends, while a deficit means the opposite. Overall, the Balance of Payments helps measure a country's economic health and its financial relationship with other countries.

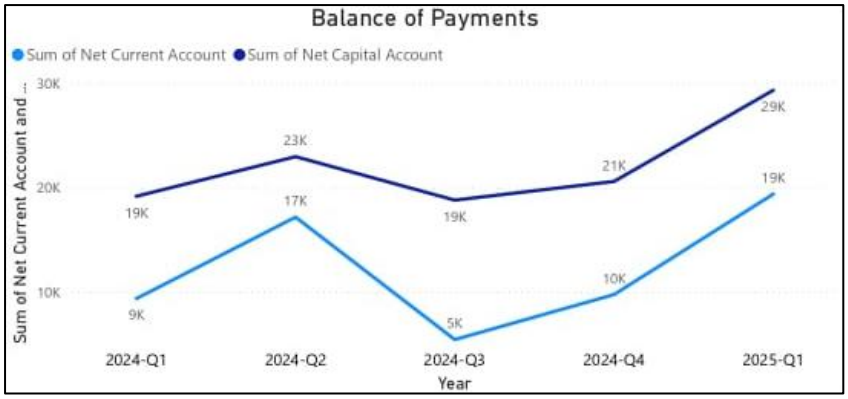


Figure 12. Balance of Payments of Switzerland

According to the figure 12, the graph illustrates the Balance of Payments (BOP) trend from the first quarter of 2024 to the first quarter of 2025, comparing the sum of the net current account and the net capital account. The net current account shows significant fluctuations during this period. It begins at 9,000 in 2024-Quarter 1, rises sharply to 17,000 in 2024-Quarter 2, then drops to 5,000 in 2024-Quarter 3, indicating a period of trade imbalance or higher import expenditure. It recovers slightly to 10,000 in 2024-Quarter 4 and further improves to 19,000 by 2025-Quater1, suggesting a strong rebound in export performance or income receipts. In contrast, the net capital account remains relatively stable and consistently higher than the current account, starting at 19,000 in 2024-Quarter 1 and reaching 23,000 in 2024-Quarter 2, before a small decline to 19,000 in 2024-Quarter 3. It then gradually rises again to 21,000 in 2024-Quarter 4 and 23,000 in 2025-Quarter 1, reflecting steady foreign investment inflows. Overall, while the current account exhibits volatility, the steady rise in the capital account indicates financial stability and investor confidence, leading to an overall positive balance of payments trend by early 2025.

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